IPO ANALYSIS REPORT · RHP

Crystal Crop Protection Limited

Mainboard · Agrochemicals and seeds (crop protection, natural crop solutions, hybrid seeds) · filed 2026-11-12 · lead manager(s): IIFL Capital Services, DAM Capital Advisors, Motilal Oswal Investment Advisors · issue size Rs 456 cr · price band: Rs 259-272 · analysed 2026-11-14

CALL **Avoid**

BUSINESS STAGE Established, acquisition-led growth (brands bought from multinationals; seeds scaled via I&B Seeds)

A Delhi-based agrochemicals and seeds company (FY26 revenue Rs 3,152 cr, adjusted EBITDA margin 15%, PAT Rs 146 cr) that has grown by buying brands from multinationals, raising Rs 355 cr of fresh money to cut debt, priced at 30.5x FY26 earnings against a 20x peer median; fair value Rs 190 (Avoid, by a hair) because brand amortisation and working capital keep returns on equity near 8%.

Revenue FY26 **₹3,152 cr** CAGR FY24-FY26: **18.9%**	PAT FY26 **₹145 cr** CAGR FY24-FY26: **28.9%**	EBITDA margin **14.5%** FY24: **9.4%**	Cash conversion (CFO / PAT, 3 yrs) **278.8%**
Cash tax rate (3 yrs) **26.5%**	P/E at reference (post-issue) **30.5x** peer median: **19.9x**	Adjusted P/E (earnings quality) **27.1x** reported: **30.6x**	Blended value (Neutral) **₹190.2** vs reference: **-30.1%**

Reference price

₹272

Working band Rs 259-272 (single aggregator, unconfirmed; RHP prints [●]); pre-IPO placement at Rs 272.07 (p. 123). At Rs 272: 16.32 crore post-offer shares, market cap Rs 4,438 cr; P/E 30.5x FY26 PAT to owners (27.1x adjusted for the CCD fair-value loss and exceptional item); company's own P/E 23.8x basic / 24.6x diluted; P/B 2.06x post-offer; EV/EBITDA 9.6x FY26 adjusted EBITDA.

Report structure

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Moat and SWOT analysis

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Future outlook and projections

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Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Avoid

STAGE

Mainboard · RHP

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Business stage

Established, acquisition-led growth (brands bought from multinationals; seeds scaled via I&B Seeds)

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Basis. Red Herring Prospectus dated **12-Nov-2026** (SEBI filing 105734). The offer is book-built and has two parts:

- a **fresh issue of up to Rs 355.00 cr**, cut from the DRHP size after a **pre-IPO placement of Rs 84.29 cr at Rs 272.07 a share**;
- an **offer for sale of up to 37,02,694 shares** by promoter Ankur Aggarwal.

Anchor bidding is on 17-Nov; the issue is open **18-Nov to 20-Nov-2026** and lists on NSE and BSE. The lead managers are IIFL, DAM Capital and Motilal Oswal (pp. 1, 123, 159).

Price band: Rs 259-272, from a single aggregator and unconfirmed at writing. The RHP prints the band as [●]. The pre-IPO placement price of Rs 272.07 is consistent with the reported cap. **The call will be re-checked when the band is officially announced.**

At Rs 272 the offer is about Rs 455.7 cr: fresh Rs 355.0 cr and OFS Rs 100.7 cr. Restated consolidated financials run to **30-Jun-2026**. Printed page numbers are cited (printed page = PDF page - 5).

Judged at the **upper band, Rs 272**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** a crop-solutions company founded in 1994 (p. 304). It sells:
  - crop protection products: herbicides, fungicides and insecticides;
  - natural crop solutions: bio-stimulants, plant growth regulators and micronutrients;
  - hybrid seeds for field crops, vegetables and flowers.

- **Revenue mix FY26:** crop protection and natural crop solutions 80.4%; seeds 19.0% (p. 306). In Q1 FY27, the kharif selling season, seeds reached 36.5%.
- **Brands:** 193 product brands (p. 305). The company is among the most active acquirers in Indian agrochemicals. It has bought established brands from multinationals: Gramoxone and Tilt (Syngenta), Bavistin (BASF), Dursban (Dow) and Furadan (FMC) (p. 308).
    - In FY25 it paid **Rs 483.46 cr for brand assets** and **Rs 242.98 cr for the I&B Seeds business** (p. 104).
- **Manufacturing:**
    - Four formulation plants with 75,962 MT a year of capacity: Sonipat, Anand and two in Jammu.
    - Two plants making technicals (active ingredients) with 4,717 MT: Dahej and Nagpur.
    - Seed processing at Hyderabad and Bengaluru.
    - A new plant is planned at Jhagadia, Gujarat (p. 307).
- **Reach:** 14,717 active distributors in 23 states; about 1,200 sales staff (pp. 307-308).

Stage of the business

Classification: established, with acquisition-led growth.

Evidence	Reading
Revenue Rs 2,229.93 cr (FY24) → Rs 2,690.51 cr (FY25) → Rs 3,151.97 cr (FY26)	19% CAGR, partly bought
Adjusted EBITDA margin 9.38% → 11.99% → 15.14%	Branded mix lifting margins
Intangibles Rs 370.75 cr → Rs 782.10 cr; brand amortisation Rs 142.73 cr in FY26	Acquired brands now weigh on reported profit
Fresh issue mostly repays debt	A balance-sheet clean-up, not a capacity build

2. Industry outlook

Industry figures come from the Frost & Sullivan report commissioned and paid for by the issuer (p. 304). We have not checked them independently.

- **Seeds:** the Indian seed market is about USD 4.3 bn in FY26, growing at about 7.4% a year to FY31 (p. 273).
- **Crop protection:**
    - India's per-hectare use of agrochemicals is low, and farmers are moving to branded, combination and biological products.
    - The company's branded crop-protection business grew 46% over FY24-26, against an industry rate of 10-13% (p. 305).
- **Drivers and swings:**
    - The monsoon and pest pressure drive annual demand.
    - Prices of Chinese technicals drive input costs and channel inventory.
    - Regulatory bans on molecules are a recurring risk.
- **Read for an investor:** a steady-growth industry where brands and distribution reach decide returns. Working capital is heavy because of channel credit and the seasonal build of stock.

3. Moat and SWOT analysis

Moat

- **Brands bought from multinationals** with long farmer recall, plus 18 granted Indian patents (p. 307).
- **Distribution:** 14,717 distributors; over 98% of revenue comes from repeat customers (p. 35).
- **Backward integration:** the company can make or import technicals depending on prices (p. 307).
- **Limits:** generics compete on price, and the acquired brands need continual marketing spend.

STRENGTHS	WEAKNESSES
• 193 product brands, incl. acquired Gramoxone, Bavistin, Tilt, Furadan (pp. 305, 308) • 14,717 active distributors in 23 states (p. 307) • Backward integration into technicals at Dahej and Nagpur (p. 307) • Top-3 in pearl millet and mustard seeds (p. 306)	• ROE about 8% after brand amortisation (p. 186) • Working capital 38% of revenue (p. 186) • Monsoon-dependent, seasonal demand • Auditor's modified opinion (p. 448)
OPPORTUNITIES	**THREATS**
• Seeds growing 28% CAGR FY24-26 (p. 306) • Natural crop solutions and biologicals (p. 305) • New Jhagadia, Gujarat plant (p. 307) • Debt repayment from the issue lowers interest	• Weak monsoon or pest cycles • Chinese technical price swings • Regulatory bans on molecules • Pricing pressure from generics

4. Management analysis and governance

- **Board:** six directors, three of them independent (p. 415).
  - Ankur Aggarwal is Chairman and Managing Director.
  - Nand Kishore Aggarwal is a promoter and executive director.
- **Ownership:**
  - **Before the offer:** the promoters hold 80.19% on a fully diluted basis (p. 137). Financial investors include:
    - IFC Emerging Asia Fund 5.18%
    - IFC 3.11%
    - WhiteOak 1.03%
    - an employee welfare trust 4.73% (p. 145)
  - **After the offer:** after the fresh issue and the OFS the promoters would hold about 71.5% (our computation).
- **Cost to the selling promoter:** weighted average cost Rs 23.51 a share (p. 1).
- **Audit:** Walker Chandiok & Co LLP issued a **modified opinion** across FY24-Q1 FY27 (p. 448).
  - **The issue:** an insurance claim receivable of Rs 16.30 cr, booked in FY13, was rejected by the insurer. The company won at the consumer commission (NCDRC); the insurer has appealed to the Supreme Court.

    - **The auditor's view:** the receivable is a contingent asset and should not be recognised.
    - **The effect:** equity would be Rs 16.30 cr lower (0.9%), with no effect on FY24-26 profit.
- **Litigation (p. 36):**
    - Rs 255.94 cr of claims against the company, 11.77% of net worth. These include 85 criminal cases, mostly Insecticides Act sampling matters common in agrochemicals.
    - Contingent liabilities of Rs 113.27 cr at Jun-26, mainly entry tax Rs 69.20 cr and GST Rs 33.35 cr (p. 603).
- **Read:** a founder-family business with institutional investors and an independent board. The modified opinion is a balance-sheet matter of under 1% of equity, and the litigation is typical of the industry. Neither is a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26	Q1 FY27
Revenue from operations	2,229.93	2,690.51	3,151.97	1,197.15
Gross margin (issuer)	31.10%	34.29%	38.49%	38.20%
Adjusted EBITDA (issuer)	209.06	322.63	477.17	241.78
Adjusted EBITDA margin	9.38%	11.99%	15.14%	20.20%
Depreciation and amortisation	95.59	127.13	198.35	50.80
of which brand amortisation	53.79	83.72	142.73	36.41
Finance cost	49.04	61.79	89.16	20.64
PAT	87.24	118.39	144.91	135.78
EPS (Rs, basic / diluted)	7.02 / 7.02	9.37 / 9.37	11.43 / 11.06	10.66 / 9.72
Cash flow from operations	337.79	383.03	256.42	43.47
Inventory	744.76	1,103.22	1,379.07	1,571.30
Net working capital days (issuer)	174	141	139	96
Borrowings	577.29	947.02	820.04	952.02
Total equity	1,324.70	1,424.36	1,825.68	1,964.41
ROE (issuer)	6.59%	8.31%	7.94%	6.91% (not annualised)
Adjusted ROCE (issuer)	10.39%	17.20%	17.98%	10.49% (not annualised)
Net debt / equity (issuer)	0.41x	0.65x	0.41x	0.41x

Sources: pp. 99-104, 186, 508. Q1 is the peak kharif quarter and is not annualised. FY26 equity includes Rs 312.10 cr of CCDs classed as equity, which have since converted (pp. 99, 123).

At the working upper band (Rs 272):

- **Shares and value:** post-offer shares 16.32 crore (15.01 crore before the offer plus about 1.31 crore new); market cap **Rs 4,438 cr**.
- **P/E 30.5x** on FY26 PAT attributable to owners (Rs 145.68 cr).

- **P/B and EV:** post-offer net worth about Rs 2,156 cr, P/B 2.06x. EV about Rs 4,605 cr, or 9.6x FY26 adjusted EBITDA.
- **At Rs 259:** market cap Rs 4,243 cr, P/E 29.1x.

As disclosed by the company (Basis for Offer Price)

Item	As disclosed
Restated PAT, FY26 (attributable to owners; total Rs 144.91 cr)	Rs 145.68 cr
EPS, FY26 (basic / diluted)	Rs 11.43 / Rs 11.06
P/E at floor price Rs 259 (basic / diluted)	22.66x / 23.42x
P/E at cap price Rs 272 (basic / diluted)	23.80x / 24.59x
Industry peer P/E (highest / lowest / average)	31.20x / 12.13x / 20.07x

Source: RHP pp. 183-185 (Basis for Offer Price); PAT p. 102. The RHP prints the issuer's P/E as [●] until the price band is fixed; the P/E shown is the band divided by the company's own EPS, the computation the price-band advertisement makes. These are pre-issue, latest-full-year figures; our own P/E elsewhere in this report is on post-issue shares. The EPS is on 12.75 crore weighted shares before the CCD conversion and the pre-IPO placement; on the 15.01 crore pre-offer shares FY26 EPS is Rs 9.70 (P/E 28.0x at Rs 272). Price band from a single aggregator, unconfirmed at writing.

Positives and points to monitor

Positives	Points to monitor
Gross margin up from 31.1% to 38.5% (p. 186)	Brand amortisation about equal to PAT (p. 508)
Cumulative CFO 2.2x PAT FY24-26 (p. 104)	Working capital 38% of revenue (p. 186)
Issue repays Rs 270 cr of debt (p. 160)	Modified audit opinion (p. 448)
Seeds growing fast (p. 306)	Up to 35% of gross proceeds for unidentified acquisitions and GCP (p. 160)

Is the reported P/E right? Earnings quality at Rs 272

Reported FY26 P/E of 30.6x understates earnings: adjusted P/E 27.1x (PAT +12.9%). On the FY24-FY26 average, which smooths one-year items, the P/E is 38.0x reported and 35.5x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	144.91	8.88	**30.6x**
FY26 after: CCD fair-value loss	160.58	9.84	**27.6x**
FY26 after: exceptional item	163.68	10.03	**27.1x**
FY24-FY26 average, reported	116.85	7.16	**38.0x**
FY24-FY26 average, adjusted	124.94	7.66	**35.5x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Fair-value loss on compulsorily convertible debentures Non-cash change in the fair value of CCDs issued to IFC (Oct-2022) charged to profit; the CCDs have converted into equity, so the charge does not recur. Equals the issuer's EBITDA-to-adjusted-EBITDA bridge.	0	7.35	20.94	! YES	High	27.6x	pp. 186-187
Exceptional item One-off exceptional charge in FY26 (Rs 4.14 cr).	0	0	4.14	! YES	Medium	30.0x	p. 101
Amortisation of acquired brands Non-cash amortisation of brands bought from multinationals (5-10 year	53.79	83.72	142.73	No (information)	Low	17.6x	p. 508

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
lives) roughly equals FY26 PAT; adding it back gives a cash-earnings view, but the company keeps buying brands, so it is shown for information and kept out of the adjusted P/E.							
Treasury income in other income Interest income on deposits; non-operating and small. For information.	-1.93	-1.48	-1.02	No (information)	Medium	30.8x	p. 103

Also checked, no adjustment needed

✓ PASS Profit is taxed in cash: current tax 23-29% of PBT (p. 101)

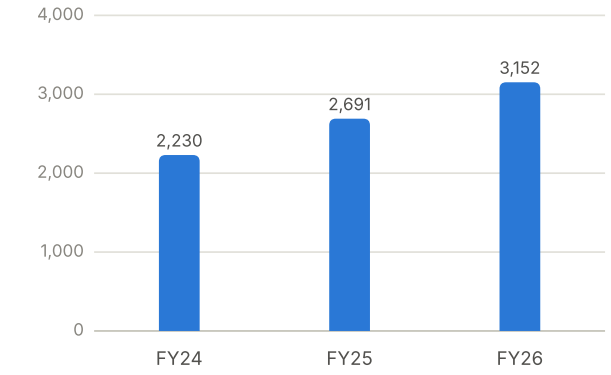
✓ PASS Auditor's modified opinion concerns a Rs 16.30 cr insurance receivable on the balance sheet, not FY24-26 profit (p. 448)

✓ PASS No capitalised interest identified; CWIP Rs 81.15 cr at Mar-26 (p. 99)

✓ PASS Q1 FY27 is the peak kharif quarter; not annualised

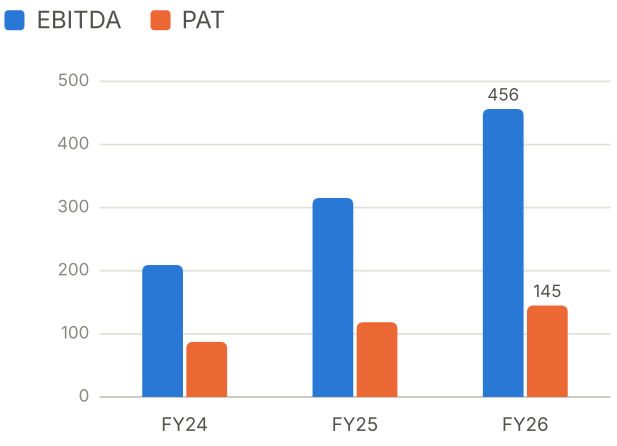
Revenue from operations

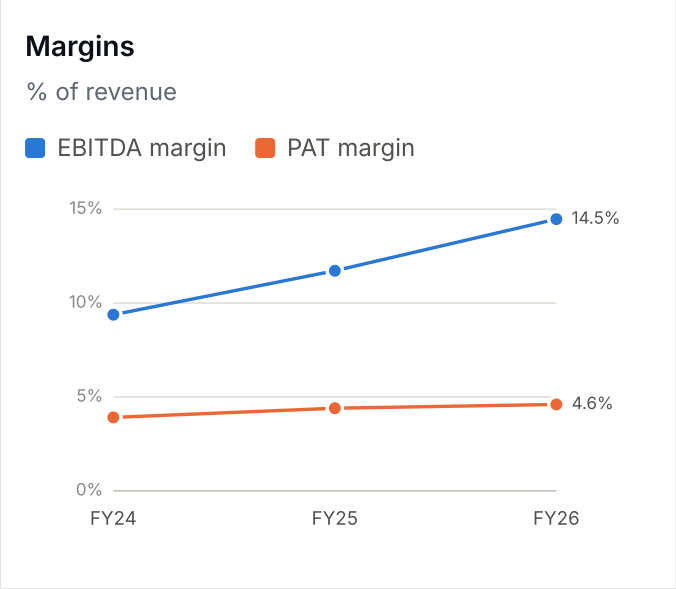
Rs crore

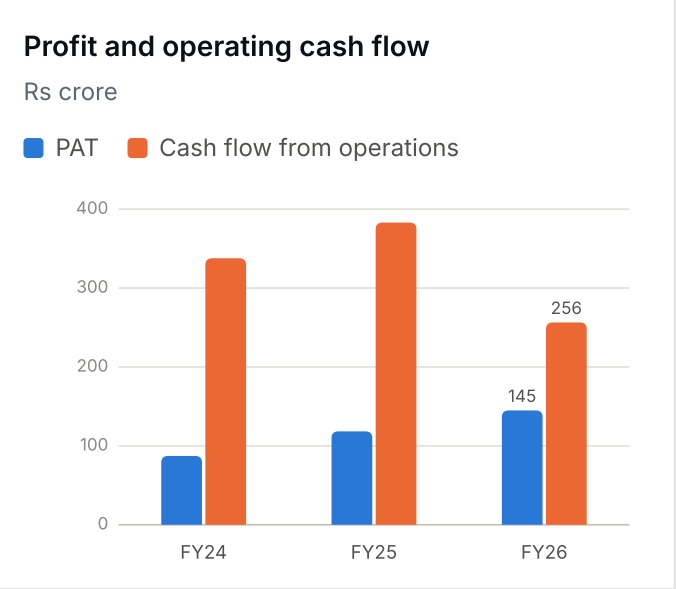


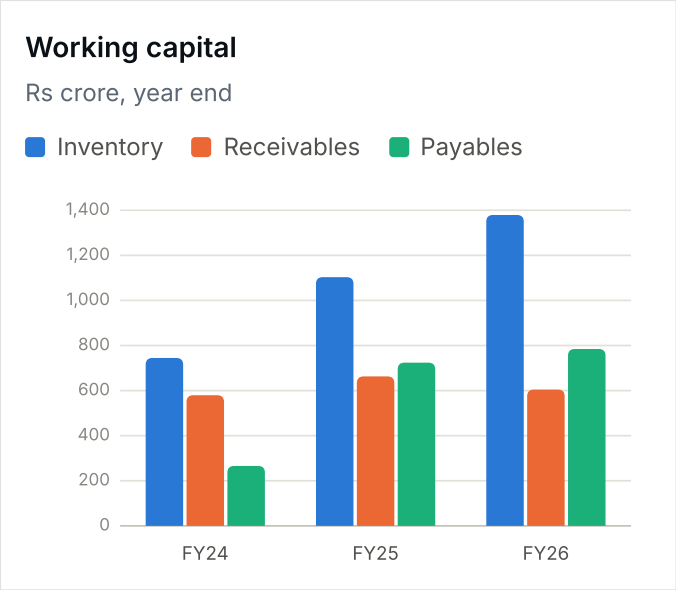
EBITDA and PAT

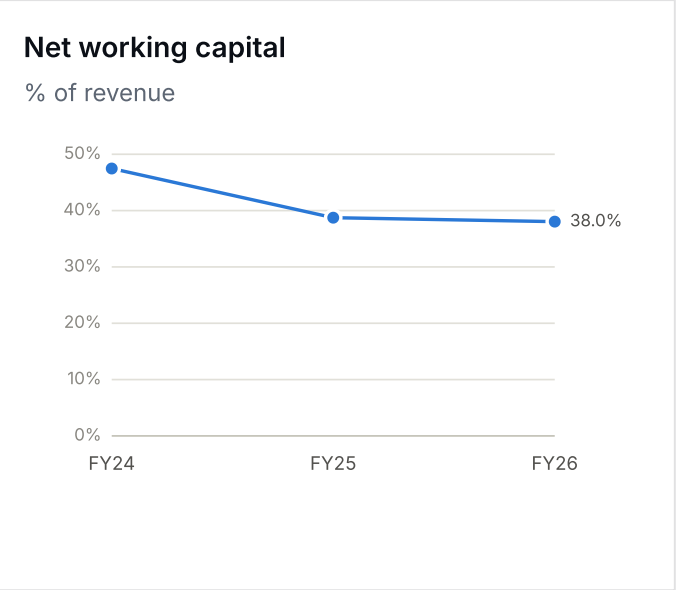
Rs crore











6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

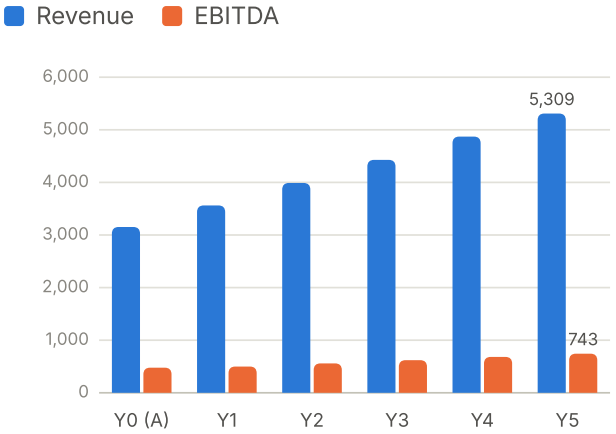
- **Use of the issue (p. 160):**
  - Rs 247.94 cr to repay company debt.
  - Rs 22.06 cr for the subsidiary Saffire Crop Science to repay its debt.
  - The rest, up to 35% of gross proceeds, for unidentified acquisitions and general corporate purposes.
  - The pre-IPO money of Rs 84.29 cr has already gone to repay debt.
- **After the issue:** interest of about Rs 25 cr a year falls away (our estimate at about 9%), and net debt falls to about Rs 167 cr.
- **Neutral projection used in the model (Rs crore).** It assumes no further acquisitions:

	FY26 (actual)	Y1	Y2	Y3	Y4	Y5
Revenue growth	17%	13%	12%	11%	10%	9%
Revenue	3,151.97	3,561.72	3,989.13	4,427.94	4,870.73	5,309.09
Adjusted EBITDA (14%)	477.17	498.64	558.48	619.91	681.90	743.27

	FY26 (actual)	Y1	Y2	Y3	Y4	Y5
Free cash flow to firm	136.7	187.9	186.8	222.2	261.1	303.1

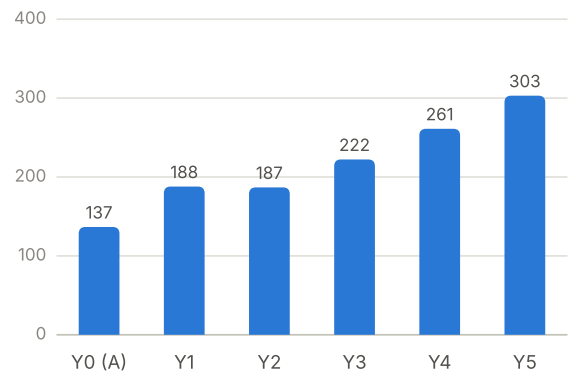
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

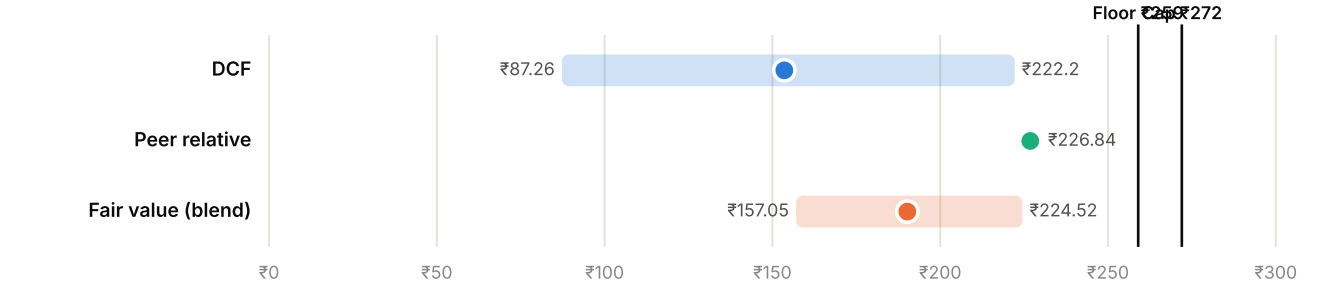


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Working band Rs 259-272 (single aggregator, unconfirmed; RHP prints [●]); pre-IPO placement at Rs 272.07 (p. 123). At Rs 272: 16.32 crore post-offer shares, market cap Rs 4,438 cr; P/E 30.5x FY26 PAT to owners (27.1x adjusted for the CCD fair-value loss and exceptional item); company's own P/E 23.8x basic / 24.6x diluted; P/B 2.06x post-offer; EV/EBITDA 9.6x FY26 adjusted EBITDA.

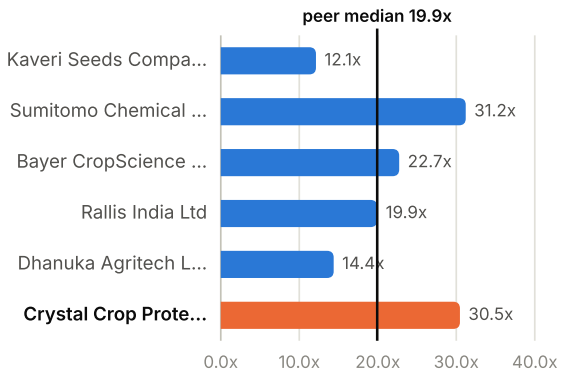
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



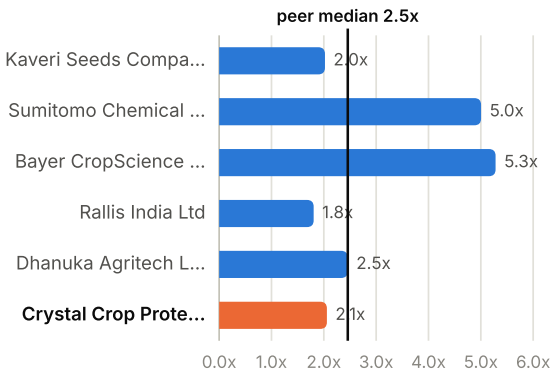
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹87.26	₹226.84	**₹157.05**	-42.3%
Neutral	₹153.55	₹226.84	**₹190.2**	-30.1%
Bull	₹222.2	₹226.84	**₹224.52**	-17.4%

WACC **14.3%**

Terminal value share of EV **71.4%**

Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	11.0%	4.5%
implied WACC at terminal g	7.6%	14.3%
required EBIT margin (steady state)	25.5%	13.4%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	38.0%

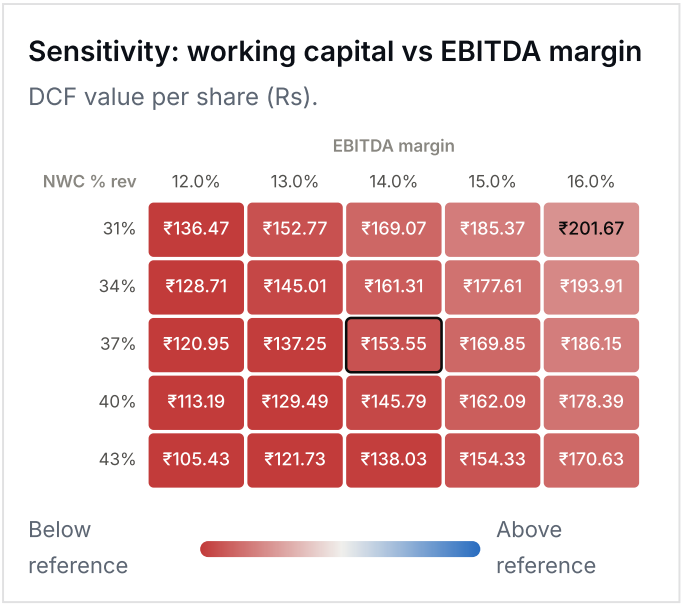
The price asks the business to deliver 33.7 times its current free cash flow, in perpetuity.

Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.

WACC \ Terminal growth	3.5%	4.0%	4.5%	5.0%	5.5%
12.3%	₹192.28	₹195.75	₹199.61	₹203.91	₹208.78
13.3%	₹169.4	₹171.57	₹173.92	₹176.5	₹179.34
14.3%	₹150.85	₹152.16	₹153.55	₹155.04	₹156.64
15.3%	₹135.52	₹136.25	₹137.01	₹137.79	₹138.61
16.3%	₹122.65	₹122.99	₹123.32	₹123.64	₹123.95

Below reference — Above reference



Peer comparison (P2P)

The peers are those in the RHP's "Basis for Offer Price" (p. 185). Prices are BSE closes on 9-Nov-2026; figures are FY26 consolidated.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Diluted EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
Kaveri Seeds	690.50	1,394.76	56.94	341.53	16.07%	12.1x	2.0x
Sumitomo Chemical India	339.50	3,238.32	10.88	67.84	14.95%	31.2x	5.0x
Bayer CropScience	3,485.25	5,675.00	153.35	659.89	19.15%	22.7x	5.3x
Rallis India	188.50	2,896.65	9.46	104.40	6.16%	19.9x	1.8x
Dhanuka Agritech	916.45	2,019.79	63.72	372.89	17.67%	14.4x	2.5x
Crystal Crop at Rs 272 (post-offer, FY26)	272	3,151.97	8.93	132.13	7.14%	**30.5x**	**2.1x**
Peer median					16.07%	19.9x	2.5x

Read:

- Crystal Crop is as large as Sumitomo and Rallis by revenue. It is priced at 30.5x reported earnings, against a 19.9x median.
- Its return on net worth (7.1%) is less than half the peer median, because brand amortisation and acquisition-funded equity depress it.
- On adjusted earnings it is 27.1x. On cash earnings, adding back amortisation after tax, it is about 18x. The price assumes the market will look past amortisation.

DCF and fair value

Inputs (FY26; Rs crore):

- Revenue 3,151.97; adjusted EBITDA 477.17; PAT to owners 145.68; owners' equity 1,815.11.

- **Cash D&A 55.62.** This excludes Rs 142.73 cr of amortisation on brands already paid for; the projection assumes no further purchases.
- Capex 77.54.
- **Net debt 507.41**: borrowings 820.04 + leases 77.64 - cash and bank 106.39 - current investments 199.58 - pre-IPO proceeds 84.29.
- Working capital 1,199.07, against 1,042.20 at Mar-25.
- The fresh issue is credited net of 4% assumed expenses, Rs 340.80 cr.

Cost of capital (house CAPM, editable):

- Risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, so cost of equity is 16.2%.
- Pre-tax cost of debt 9.0%; debt weight 20%.
- **WACC 14.31%**; terminal growth 4.50%; terminal ROIC 16%.
- Terminal value is 71% of enterprise value.

Rs per share	Bear	Neutral	Bull
DCF	87.26	153.55	222.20
Relative (peer-median P/E and P/B)	226.84	226.84	226.84
Fair value (50:50 blend)	**157.05**	**190.20**	**224.52**
Against Rs 272 (upper band)	-42.3%	-30.1%	-17.5%
Against Rs 259 (floor)	-39.4%	-26.6%	-13.3%

- **Scenario drivers:**

Driver	Bear	Neutral	Bull
Revenue growth a year	5-6%	9-13%	11-17%
Adjusted EBITDA margin	11.5%	14%	16%
Working capital (% of revenue)	40%	37%	34%
Terminal ROIC	12%	16%	20%

  Rationale and page references are in the valuation workbook.

- **Why DCF and peers diverge (-32%):** working capital of about 37% of revenue absorbs cash as the business grows. Peer multiples are applied to reported profit and look past that.
- **Sensitivity (Neutral DCF):**
  - WACC 12.3-16.3% gives Rs 200-123.
  - EBITDA margin 10-18% gives Rs 121-186.
  - Working capital 31-43% of revenue gives Rs 169-138.
- **Objects floor:** not applicable. The fresh issue is set by amount, not by a fixed number of shares; the debt-repayment objects are Rs 270 cr.
- **Reverse DCF at Rs 272:** the price asks the business to deliver 33.7 times its current free cash flow, in perpetuity. **In plain words: the price assumes margins stay near FY26's 15% and growth stays in double digits for several years without more acquisitions.**

8. Areas to watch and growth drivers

Growth drivers to track

- **Seeds:** scale-up of field-crop and vegetable seeds (p. 306).
- **Branded mix and margin:** gross margin above 38% (p. 186).
- **Deleveraging:** finance cost falling after the debt repayment.
- **Working capital:** net working capital days below 140.
- **Acquisitions:** use of the up-to-35% unidentified-acquisitions object, and the price paid.

Points to monitor

Item	Now	Why it matters to an investor
Brand amortisation	Rs 142.73 cr in FY26 (p. 508)	Holds reported EPS down until brands are fully amortised
Audit qualification	Rs 16.30 cr insurance receivable (p. 448)	Whether it is resolved or written off
Working capital	38% of revenue (p. 186)	Decides cash conversion
Unidentified acquisitions	Up to 35% of gross proceeds (p. 160)	Capital allocation risk
Price band	Unconfirmed at writing	The call is sensitive to the cap

What would change our view

- **Towards Neutral:**
  - A confirmed cap of Rs 271 or below; the call reads Neutral there.
  - Evidence that FY26 margins are sustainable through a normal monsoon.
- **Towards Subscribe:** a price at or below about Rs 211.
- **Towards a firmer Avoid:** margin slipping back towards FY25's 12%, or a large debt-funded acquisition.

Risks

- Monsoon and pest cycles (p. 29 onwards).
- Price swings in Chinese technicals and other inputs.
- Regulatory bans on molecules.
- Integrating acquisitions and holding acquired brands (p. 308).
- Litigation and contingent liabilities (pp. 36, 603).

9. Conclusion

CALL

Avoid

STAGE

Mainboard · RHP

A Delhi-based agrochemicals and seeds company (FY26 revenue Rs 3,152 cr, adjusted EBITDA margin 15%, PAT Rs 146 cr) that has grown by buying brands from multinationals, raising Rs 355 cr of fresh money to cut debt, priced at 30.5x FY26 earnings against a 20x peer median; fair value Rs 190 (Avoid, by a hair) because brand amortisation and working capital keep returns on equity near 8%.

Business stage

Established, acquisition-led growth (brands bought from multinationals; seeds scaled via I&B Seeds)

Avoid at Rs 272 (working upper band), by a hair. It reads Neutral at Rs 271 or below and at the Rs 259 floor. The band is unconfirmed at writing, and the call will be re-checked when it is announced.

The investment case.

- A sizeable Indian agrochemicals and seeds company: FY26 revenue Rs 3,152 cr, gross margin 38.5%, adjusted EBITDA margin 15%.
- It has 193 brands, many bought from multinationals, and a 14,700-distributor network.
- The issue repays debt.
- Cash generation over FY24-26 was strong: CFO 2.2x PAT.

What holds the value down.

- Amortisation of acquired brands roughly equals profit, so the return on equity is about 8%.
- Working capital is heavy.
- At 30.5x reported (27.1x adjusted) earnings, the price is well above the 19.9x peer median.
- The auditor's modified opinion is small but noted.

Valuation. Fair value Rs 157 / **Rs 190** / Rs 225 (Bear / Neutral / Bull).

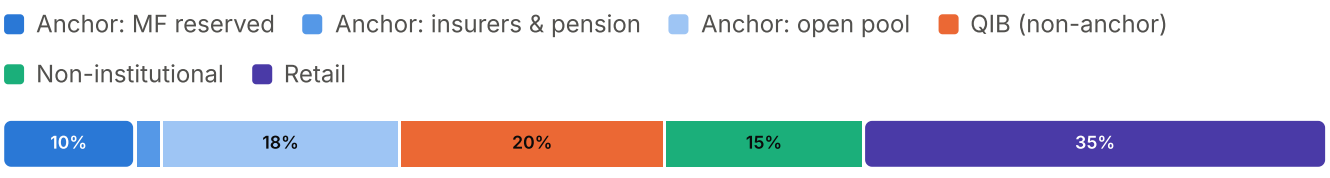
Call rule. At Rs 272 the Neutral value is 30.1% below the upper band and the Bull value is also below it, so the call is **Avoid**. The margin is 0.1 percentage points. No material governance or accounting issue was found.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 453 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	24.99	30
Anchor - tranche 2	24.99	90
Pre-offer non-promoter shareholders (IFC, IFC Emerging Asia Fund, WhiteOak, pre-IPO placees, employee trust)	226.5	180
Promoter holding above minimum contribution (after OFS)	840.4	180
Promoters' minimum contribution (20% of post-offer capital)	326.3	540

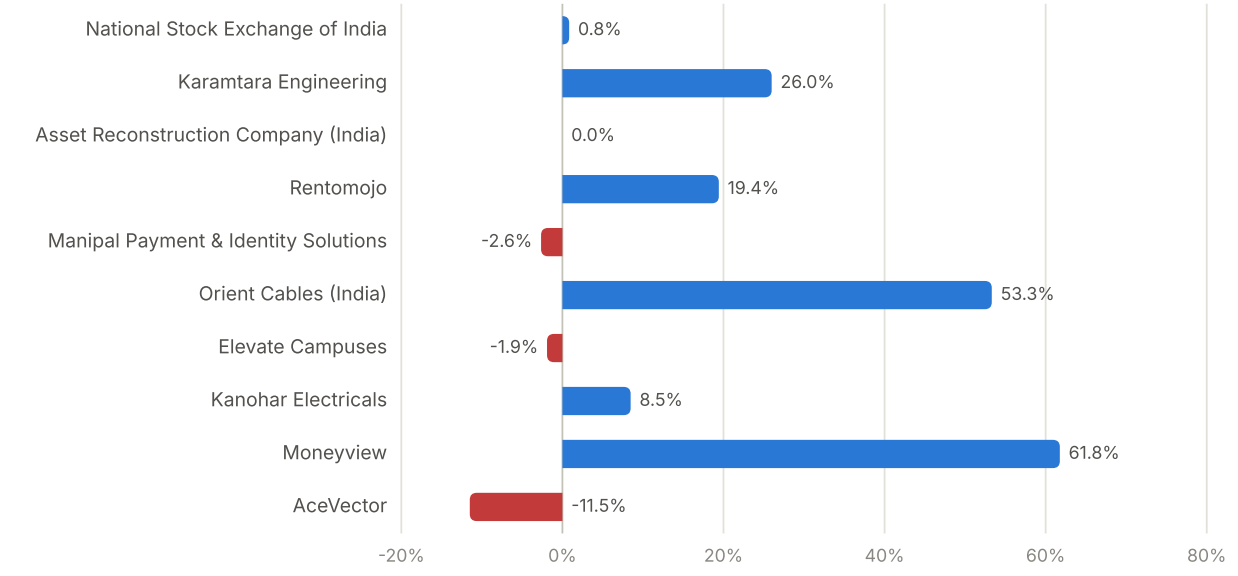
Lead manager: IIFL Capital Services Limited

Listed: Yes (formerly IIFL Securities Limited) - listing status per secondary sources, unverified
Owner: Promoter group led by the IIFL founders; shareholding percentages not sourced in this run

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2024-25	16	48,174
FY2025-26	29	71,009
FY2026-27	19	42,072

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	Basic EPS Rs 11.43 on PAT to owners Rs 145.68 cr = 12.75 crore weighted shares (the pre-conversion equity of 12.746 crore). CCDs (Rs 312.10 cr classed as equity) have since converted and a pre-IPO placement of Rs 84.29 cr at Rs 272.07 was made: pre-offer capital is 15.01 crore shares (p. 123). On that count FY26 EPS is Rs 9.70.	pp. 101-102, 123, 183
2	Cash flow vs profit	✓ PASS	CFO Rs 337.79 / 383.03 / 256.42 cr FY24-26 against PAT Rs 87.24 / 118.39 / 144.91 cr: cumulative CFO 2.2x PAT. Q1 FY27 CFO Rs 43.47 cr against PAT Rs 135.78 cr (seasonal kharif build of receivables).	pp. 103-104
3	Current vs deferred tax	✓ PASS	Current tax Rs 24.75 / 41.92 / 56.89 cr = 23-29% of PBT; income tax paid Rs 21.24 / 20.62 / 61.24 cr (p. 104).	p. 101
4	Related-party capex & subsidiaries	○ OPEN	Related-party transactions not compiled in this run; the objects carry no related-party use (p. 182).	
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 355.00 cr), not a fixed share count; objects are Rs 270.00 cr of debt repayment (company Rs 247.94 cr, subsidiary Saffire Rs 22.06 cr) plus up to 35% for unidentified acquisitions and GCP.	pp. 159-160
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	! WATCH	Other intangibles Rs 782.10 cr at Mar-26 (Rs 370.75 cr Mar-24) from acquired brands (Rs 483.46 cr asset purchase and Rs 242.98 cr I&B Seeds business in FY25, p. 104); amortised over 5-10 years: Rs 142.73 cr in FY26 (p. 508), about equal to PAT. Goodwill Rs 25.73 cr.	pp. 99, 508
8	Customer / supplier / geographic concentration	✓ PASS	14,717 active distributors; over 98% of revenue from repeat customers; top 10 suppliers 38.18% of FY26 purchases (51.33% in Q1 FY27).	pp. 35, 44
9	Contingent liabilities	! WATCH	Contingent liabilities Rs 113.27 cr at Jun-26 (entry tax Rs 69.20 cr, GST Rs 33.35 cr), 5.8% of equity. Litigation against the company Rs 255.94 cr (11.77% of net worth), including 85 criminal cases (mostly Insecticides Act sampling matters typical of agrochemicals).	pp. 36, 603
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! WATCH	Walker Chandiok & Co LLP issued a MODIFIED opinion (FY24-26 and Q1 FY27): an insurance claim receivable of Rs 16.30 cr recognised in FY13, rejected by the insurer and under appeal in the Supreme Court, should not be recognised (a contingent asset). Equity would be Rs 16.30 cr lower; no P&L effect in FY24-26.	p. 448
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	✓ PASS	Fresh issue above Rs 100 cr: monitoring agency appointed.	p. 182

#	CHECK	RESULT	FINDING	PAGE
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	✓ PASS	Mainboard issue under Reg 6(1); QIB up to 50%, NII at least 15%, retail at least 35%.	cover
R6	Lead-manager track record	○ OPEN	IIFL, DAM Capital and Motilal Oswal: large, active managers; track record not compiled in this run.	
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:**
  - Fresh issue up to Rs 355.00 cr.
  - OFS of up to 37,02,694 shares by Ankur Aggarwal.
  - An employee reservation of up to Rs 2.50 cr.
  - QIB up to 50% (anchors up to 60% of that), NII at least 15%, retail at least 35% (pp. 1, 123).
- **Pre-IPO placement:** Rs 84.29 cr at Rs 272.07 a share (p. 123).
- **Objects:** debt repayment Rs 247.94 cr (company) and Rs 22.06 cr (Saffire); unidentified acquisitions and GCP up to 35% of gross proceeds (p. 160).
- **Anchor book:** bidding on 17-Nov-2026. The allocation was not published at writing.
- **Lock-ins:**
  - Promoters' minimum contribution (20% of post-offer capital) for 18 months.
  - The rest of the pre-offer capital for six months.
  - Anchor shares: 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

IIFL Capital Services, DAM Capital Advisors and Motilal Oswal Investment Advisors. All three are large, active managers. Their track records are not compiled in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Share count and EPS	PASS	EPS on 12.75 crore weighted shares; 15.01 crore after CCD conversion and pre-IPO placement (pp. 102, 123)
2	Cash flow vs PAT	PASS	Cumulative CFO 2.2x PAT FY24-26 (p. 104)
3	Current vs deferred tax	PASS	Current tax 23-29% of PBT (p. 101)
4	Related-party dealings	OPEN	Not compiled
5	Objects as price floor	N.A.	Amount-based fresh issue
7	Goodwill and intangibles	WATCH	Intangibles Rs 782.10 cr; amortisation about equal to PAT (pp. 99, 508)
8	Concentration	PASS	14,717 distributors; top 10 suppliers 38% (pp. 35, 44)
9	Contingent liabilities	WATCH	Rs 113.27 cr; litigation 11.8% of net worth (pp. 36, 603)
R1	Auditor	WATCH	Modified opinion on a Rs 16.30 cr insurance receivable (p. 448)
R3	Monitoring agency	PASS	Appointed (p. 182)
R5	Eligibility	PASS	Reg 6(1)
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Price band and lot size (aggregator only)	High	Price-band advertisement / exchange notice
Related-party transactions	Medium	RHP restated notes
Anchor book	Medium	NSE / BSE
Remaining lives of acquired brands	Low	RHP note 5
Lead managers' track record	Low	RHP / BRLM websites

Verification

- **The P&L reproduces.** FY26 total income Rs 3,180.98 cr less expenses Rs 2,983.25 cr gives profit before exceptional items Rs 197.73 cr. Less the associate loss and exceptional item, PBT is Rs 193.39 cr. Less tax Rs 48.48 cr, PAT is Rs 144.91 cr (p. 101).
- **The balance sheet balances at Mar-26.** Total assets Rs 3,927.24 cr = equity Rs 1,825.68 cr + non-current liabilities Rs 372.35 cr + current liabilities Rs 1,729.22 cr (pp. 99-100).
- **Cash flow reconciles.** FY26 operating, investing and financing flows (+256.42, -215.90, +10.16) sum to the +50.67 change in cash (pp. 104-105).
- **EPS reproduces.** PAT to owners Rs 145.68 cr / basic EPS Rs 11.43 = 12.75 crore shares, the pre-conversion equity (pp. 99, 102).
- **The company's P/E reproduces.** Rs 272 / Rs 11.43 = 23.8x; peer P/Es are as printed (p. 185).
- **Workbooks:** the toolkit verification gate passed on this build.

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